gemini-conversation

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User

I want to implement weekend investing by alok jain stock strategy. Which is basically look at top stock and buy based on RSI value . Can you Google search on his approach what is it actually and how it works. From stock universe to everything

Gemini

Alok Jain's "Weekend Investing" is built on the philosophy of **rule-based momentum investing**. While he manages several premium "smallcases" (like Mi30, Mi20, etc.), the specific strategy you are referring to is his popular **RSI-based momentum model**.

The core idea is to remove human emotion and bias by following a strict mathematical formula to identify stocks that are already in a strong uptrend.

1. The Stock Universe

Alok Jain typically applies this strategy to broad indices to ensure liquidity and quality. Common universes include:

- **CNX 200 (Top 200 stocks)**: For a more stable, large-cap focused portfolio.
- **CNX 500**: For a multi-cap approach that includes high-growth mid and small caps.
- **Liquidity Filter**: Stocks must have a market cap > **₹1,000 Crore** and sufficient daily trading volume.

2. The Ranking Logic (The RSI Approach)

The specific RSI strategy involves using multiple lookback periods to capture momentum across different timeframes. The standard formula involves:

- **RSI (22 days)**: Captures short-term momentum (approx. 1 month).
- **RSI (44 days)**: Captures medium-term momentum (approx. 2 months).
- **RSI (66 days)**: Captures long-term momentum (approx. 3 months).

The Selection Process:

1. **Calculate** the RSI for all 200 or 500 stocks across these three periods.
2. **Average** the three values: $\text{Avg RSI} = \frac{(RSI_{22}+RSI_{44}+RSI_{66})}{3}$.
3. **Rank** the entire universe in descending order based on this average RSI.
4. **Selection**: Buy the **Top 20** stocks from this ranked list.

3. Portfolio Construction

- **Weightage**: Equal weight is given to each stock. In a 20-stock portfolio, each gets **5%** of the total capital.
- **Cash Hedge**: If the market is in a severe downtrend (e.g., Nifty is below its 200-day moving average), the strategy often moves capital into **Liquid ETFs** (like LIQUIDBEES) instead of holding stocks.

4. Rebalancing (The "Weekend" Part)

This is not a daily trading strategy. The rebalancing happens **once a week** (usually on Friday afternoon or Monday morning):

- **Review**: Check the ranks of your current holdings against the new Top 20 list.
- **Sell**: Any stock that falls out of the top rankings (e.g., drops below rank 30 or 40, depending on your "buffer" rule) is sold immediately.
- **Buy**: Replace the sold stocks with the new top-ranked stocks from the list to bring the count back to 20.

5. Why it Works

- **Letting Winners Run**: By holding top RSI stocks, you stay invested in "super-performers" for as long as they maintain momentum.
- **Cutting Losers Fast**: As soon as a stock's price plateaus or drops, its RSI rank will collapse, triggering an automatic exit.
- **Non-Discretionary**: You don't read news or analyze P/E ratios; you only follow the numbers.

> **Note for implementation:** You can use tools like **Screener.in**, **TradingView**, or **Chartink** to build a custom screen for "Average RSI (22, 44, 66)" to automate this ranking for yourself.

User

The selection process. I want you to take the role of a quant analyst and a professional trader who is trading for decades. What do you think about this selection process, and what suggestions do you have to improve it?

Gemini

You are seeking a quantitative critique of the RSI momentum selection logic and specific professional-grade enhancements to improve its robustness and risk-adjusted returns, correct?

User

Yes

Gemini

The Quant Critique: The Fragility of RSI Momentum

From a quantitative perspective, the **Average RSI (22, 44, 66)** strategy is a "Cross-Sectional Momentum" model. It works by exploiting the behavioral tendency of markets to overreact and create trends. However, as a professional trader, I see three structural weaknesses in this specific selection process:

- **Indicator Saturation**: RSI is a "bounded" oscillator (0 to 100). In a vertical "super-trend," a stock's RSI will hit the $80 - 90$ range and stay there while the price continues to double. Because the indicator is capped, it loses its ability to differentiate between "strong" and "extraordinarily strong" stocks once they are all overbought.
- **Mean Reversion Sensitivity**: Stocks with the highest RSI are, by definition, the most "extended." You are buying at the point of maximum verticality. While this is the essence of momentum, it leaves the portfolio highly vulnerable to "mean reversion" shocks—where the stock drops $10 - 15\%$ just to touch its 20-day moving average.
- **Blindness to Volatility**: The standard RSI selection doesn't distinguish between a stock that moved up **steadily** and one that **gapped up** on a single piece of news. In quant terms, we prefer "low-volatility momentum" (stocks that move up in a smooth line) over "high-volatility momentum" (erratic spikes).

Strategic Enhancements (Version 2.0)

To transform this from a retail-level hobbyist strategy into a professional-grade quant model, I suggest these four modifications:

1. The "Momentum Quality" Filter (Risk-Adjusted Momentum)

Instead of just Average RSI, calculate the **Momentum/Volatility Ratio**.

$$\text{Score} = \frac{\text{Average RSI}}{\text{Standard Deviation of Returns (20-day)}}$$

This ensures you rank stocks higher if they are trending strongly but with **low turbulence**. It prevents you from buying "pump and dump" stocks that have high RSI due to a single 20% circuit day.

2. The Regime "Kill Switch"

The biggest risk to momentum is a "sideways" or "bear" market.

- **Rule**: Only remain 100% invested if the **Nifty 50** is above its 200**-day Simple Moving Average (SMA)**.
- **Action**: If the Nifty drops below its 200-SMA, move 50% or 100% of the portfolio into **Liquid ETFs** (e.g., LIQUIDBEES). This "protective put" on your portfolio is what separates survivors from those who blow up during a market crash.

3. Ranking Buffer (Reducing Churn)

To avoid unnecessary brokerage and slippage costs from "whipsaws":

- **Entry**: Buy only if the stock enters the **Top 20**.
- **Exit**: Do **not** sell if it drops to Rank 21. Only sell if it falls out of the **Top 40**. This "buffer zone" allows your winners to breathe and reduces your weekly turnover, which is critical for long-term compounding

in the Indian tax environment (STCG).

4. Fundamental "Quality" Overlay

Since you value character and authenticity, add a "Character Filter" to your Python tool before ranking:

- **Exclude**: Companies with **Pledged Shares >** 10% or **Debt-to-Equity >** 1.5.
- **Include**: Only companies with a **Market Cap >** ₹$2,000$ **Crore**. This ensures your "Momentum" isn't being fueled by low-quality "operators" but by institutional buying in real businesses.

Implementation for a Software Engineer

Since you are building a tool in Python/Kotlin, do not just calculate RSI. Use a library like `vectorbt` or `Backtrader` to run a **walk-forward optimization**.

- **Data Handling**: Ensure you use **Adjusted Closing Prices** (accounting for dividends and splits), otherwise your RSI calculations will be fundamentally flawed on corporate action dates.
- **Parallelization**: Use Python's `multiprocessing` to calculate RSI rankings across the Nifty 500 universe simultaneously. It will significantly speed up your weekly rebalance tool.

Momentum Investing strategy explained

This video features Alok Jain explaining the specific mechanics of his momentum approach and the psychological discipline required to execute a rule-based system without manual intervention.

Momentum Investing explained by Alok Jain | His strategy revealed - YouTube
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